

not the means. Often too, as a consequence, the best person does not get the top job; rather, it is the person who plays the game best. This does not always happen in family managed companies as one is aware that the mantle of leadership will always be worn by the son or daughter of the house.

What to Look For

It would be unfair to state that one should invest only in professionally managed companies or family managed companies. There are well managed, profitable companies in both categories. There are also badly managed companies in both categories. What then are the factors one should look for?

1. In my opinion, the most important aspect is the integrity of the management. This must be beyond question. It is often stated that a determined employee can perpetrate a fraud, despite good systems and controls. Similarly, if it so desires, the management can juggle figures and cause great harm and financial loss to a company (for their own personal gain). My recommendation would therefore be to leave a company well alone if you are not too certain of the integrity of its management. I had the privilege once to listen to Mr. C. S. Patel who was at one time the Chief Executive of Unit Trust of India. He recounted an advice he was given by his mentor, Mr. A. D. Shroff, the erstwhile Chairman of the New India Assurance: "If you have the slightest doubt of management, do not touch the company with a pair of tongs." Seldom have I heard truer words. When, in a conversation about a company, its management is described colloquially as "*chor* (thief) management", it is a hint to keep well away from that company.

In this context, one should check who the major shareholders of the company are. There are some managements who have a record of manipulating share prices. I was recounted a tale wherein a non Indian journalist asked the scion of a family managed company how he could claim that the share price of his company would not fall below Rs. 230. The worthy replied, "We will not allow it to." Shares of such companies are speculative shares and artificially kept at a high price. They must be avoided.